

EPLI COVERAGE SUMMARY

Overview

TriNet secures Employment Practices Liability Insurance (EPLI) coverage through an insurance carrier (“Insurer”) to help protect TriNet and its Client Companies from many of the liabilities inherent in the employment relationship.

The Insurer has the sole authority to make insurance coverage decisions. TriNet cannot make coverage decisions.

The Insurer also has the sole authority to appoint an attorney to represent TriNet and/or its Client Companies in connection with covered claims under TriNet’s EPLI program. Failure to cooperate with the Insurer and/or its appointed attorney may jeopardize insurance coverage. Importantly, legal fees, judgments, settlement amounts, or other costs incurred by a Client Company without the consent of the Insurer, including using an attorney not assigned by the Insurer, may not be covered.

Terms and Conditions

1. Coverage is provided on a “claims-made and reported” basis, which means that covered claims must be first made during the coverage term for insured events taking place during the coverage term and timely reported. No coverage exists for events that occurred prior to Client Company onboarding with TriNet. A standalone policy may be purchased to avoid gaps in coverage prior to Client Company’s effective date with TriNet.
2. Coverage is provided for administrative agency proceedings.
3. Coverage is provided for claims alleging wrongful termination, discrimination, harassment, or retaliation.
4. Coverage is provided for punitive damages, if allowed by law.
5. Claims must be timely reported by Client Company to TriNet, and Client Company must use defense counsel assigned by Insurer (see Claims and Claims Reporting, below).
6. Termination of the service agreement with TriNet automatically cancels the Client Company’s coverage under TriNet’s policy. Stated differently, there will be no coverage for claims made after the service agreement is terminated, even if the wrongful acts occurred prior to the termination of the service agreement. The Client Company should consult with its broker to consider securing a standalone policy or tail coverage to avoid any gaps in coverage after the service agreement is terminated.
7. In the event the Client Company refuses either to continue participating in reasonable settlement negotiations on a claim or to consent to a settlement of a claim in accordance with the Insurer’s recommendation, the Insurer’s liability for loss on the claim shall not exceed: (1) the amount for which the claim could have been settled; plus (2) any defense costs incurred up to the date the Client Company refused to settle the claim.
8. The policy provided will be excess of any EPLI coverage that is purchased by the Client Company and will be subject to the payment, in full, of the underlying limit and applicable deductible or retention. The Client Company is solely responsible for the entire deductible or retention amount under any EPLI policy it purchases. Coverage under TriNet’s policy will be triggered only after the Client Company’s other insurance policy’s limits are exhausted and the retention under TriNet’s policy has been satisfied, either through payment by the Client Company or the Client Company’s carrier.

Claims and Claims Reporting

A “claim” according to the policy is broadly defined and includes any written demand for monetary, non-monetary, or injunctive relief (whether from a current or former employee, or applicant for employment, or an attorney representing an employee or applicant), as well as administrative charges or complaints, civil lawsuits, or arbitration complaints. Regardless

of the form of the complaint or the allegations it contains, an insured Client Company must forward a copy of the claim (and its attachments) to Connect 360 immediately upon receipt of the claim. “Immediately” is defined under the policy as the same day a Client Company receives a claim, but in no event later than 72 hours after the claim is received.

The Client Company should not make any settlement offers without Insurer’s consent. Any settlements made without consent will not be counted toward the retention or be covered and therefore, will affect the amount that the Client Company ultimately must contribute to the costs and settlement of that claim.

If a Client Company purchases its own EPLI policy and receives a claim or a notice suggesting a claim, it is the responsibility of the Client Company to report that claim to its insurer. TriNet will have no responsibility for noticing the Client Company’s other insurer; however, the Client Company must also report the claim to TriNet immediately if it wants to avail itself of TriNet’s policy.

Retention

Please refer to your service agreement with TriNet regarding retention amounts. In the event of both covered and uncovered claims, the Client Company will be solely responsible for any loss, including defense costs, related to uncovered claims. (TriNet reserves the right to change your retention amount, upon written notice and with prospective effect only.) In the event your service agreement with TriNet terminates during the pendency of a claim, you may be responsible for any remaining amount on the retention.

Multiple Plaintiff Claims

Any single claim brought on behalf of multiple plaintiffs or claimants alleging the same or interrelated wrongful acts may be treated as one claim for the purposes of coverage, subject to the \$1,000,000 per claim limit of liability.

Covered Claims

EPLI coverage is intended to help protect TriNet and its Client Companies from certain risks of employment. Subject to the specific terms of the policy, the types of claims generally covered are:

- 1. Wrongful Employment Decision:** any actual or alleged: (1) wrongful termination, dismissal, or discharge of employment, demotion, denial of tenure, or failure or refusal to hire or promote; or (2) breach of any implied employment contract or obligation, including but not limited to any such obligation arising out of any personnel manual, employee handbook or policy statement. This does not extend to breach of contract pursuant to a written employment agreement.
- 2. Discrimination:** any violation of employment discrimination laws, including but not limited to: any actual, alleged or constructive employment termination, dismissal, or discharge; employment demotion; denial of tenure; modification of any term or condition of employment; any failure or refusal to hire or promote; and any limitation or segregation that in any way would deprive a person of employment opportunities based on such person’s race, color, religion, creed, age, sex, disability, marital status, national origin, pregnancy, HIV status, sexual orientation or preference, veteran status or any other status that is protected pursuant to any foreign, federal, state, or local statutory law or common law.
- 3. Harassment:** (1) sexual harassment, including unwelcome sexual advances, requests for sexual favors, or other conduct of a sexual nature that is made a condition of employment with, used as a basis for employment decisions by, interferes with performance or creates an intimidating, hostile, or offensive working environment within the Client Company; or (2) workplace harassment, including work-related harassment of a non-sexual nature that interferes with performance or creates an intimidating, hostile, or offensive working environment within the Client Company.
- 4. Workplace Torts:** any employment-related (1) misrepresentation, defamation (including libel and slander), false arrest, detention, imprisonment, invasion of privacy, negligent evaluation, wrongful discipline or wrongful deprivation of a

career opportunity, so long as another Wrongful Act is alleged; or (2) negligent retention, supervision, hiring, or training, wrongful infliction of emotional distress, mental anguish or humiliation, or failure to provide or enforce consistent employment-related corporate policies and procedures, so long as another Wrongful Act is alleged.

5. **Retaliation:** retaliatory treatment of an employee of the Client Company, alleged to be on account of such individual: (1) exercising his or her rights under law including rights under worker's compensation laws, the Family and Medical Leave Act, the Americans with Disabilities Act or any other law relating to employee rights; (2) refusing to violate any law or opposing any unlawful practice; (3) having assisted or testified in or cooperated with any legal proceeding or formal governmental investigation regarding alleged violations of law by an Insured; (4) disclosing or expressing an intent to disclose to a superior or to any governmental agency any alleged violations of law; or (5) filing or expressing an intent to file any claim against the Client Company under the Federal False Claims Act or any other foreign, federal, state, or local "whistle blower" law.

Exclusions

Some aspects of the employment relationship are not covered by EPLI for defense costs, settlements, judgments, or awards, and the Insurer may allocate coverage accordingly. Examples in our EPLI coverage are:

- **Deliberate Criminal and Deliberate Fraud:** The policy will not pay loss in connection with any claim alleging, arising out of, based upon or attributable to any deliberate criminal or deliberate fraudulent act by a Client Company if a final judgment or adjudication in the underlying proceeding establishes that such criminal or fraudulent act occurred.
- **Prior Acts:** This policy will not pay loss alleging, arising out of, based upon or attributable to any actual or alleged wrongful act that occurred or first commenced prior to the inception of the most recent client service agreement. In the event the client service agreement has been continuously renewed, the inception of that client service agreement is considered to be the effective date of the service agreement.
- **Prior Notice:** The policy will not pay loss in connection with any claim alleging, arising out of, based upon or attributable to the same facts or essentially the same facts alleged, or to the same or related wrongful act(s) alleged or contained in any claim that has been reported under any prior policy.
- **Inability to Pay:** This policy will not pay loss arising out of, based upon or attributable to the refusal, failure, or inability of any Client Company to pay wages or overtime pay for services rendered (exclusive of tort-based front pay or back pay), improper classification of any employee, improper payroll deductions taken by any Client Company from any Employee, failure to provide or enforce legally required meal or rest break periods, failure to reimburse expenses, unjust enrichment, or conversion; provided, however, that this Exclusion shall not apply to any claim for retaliation.
- **Employee Retirement Income Security Act:** The policy will not pay loss in connection with any claim alleging, arising out of, based upon or attributable to any actual or alleged violation of the Employee Retirement Income Security Act of 1974, the Fair Labor Standards Act (except the Equal Pay Act), the National Labor Relations Act, the Worker Adjustment and Retraining Notification Act, the Consolidated Omnibus Budget Reconciliation Act, the Occupational Safety and Health Act, any rules or regulations of the foregoing promulgated thereunder, and any amendments thereto, or any similar foreign, federal, state, or statutory law or common law; provided, however, that this exclusion shall not apply to any claim for retaliation.
- **Strikes and Lockouts:** The policy will not pay loss in connection with any claim alleging, arising out of, based upon or attributable to any lockout, strike, picket line, hiring of replacement workers, or other similar actions in connection with labor disputes or labor negotiations; provided, however, that the exclusion shall not apply to any claim for retaliation or wrongful employment decisions.
- **Other Capacity:** The policy will not pay loss in connection with any claim alleging, arising out of, based upon, or attributable to any actual or alleged act or omission of an insured person serving in any capacity, other than as an insured person.
- **Bodily Injury:** The policy will not pay loss in connection with any claim for bodily injury, sickness, disease or death of any person, or damage to or destruction of any tangible property, including the loss of use thereof, including any

emotional distress or mental anguish resulting therefrom; provided, however, that the exclusion shall not apply to that portion of a claim alleging emotional distress or mental anguish resulting from an otherwise covered wrongful act.

- **Breach of Contract:** The policy will not pay loss in connection with any claim alleging, arising out of, based upon, or attributable to any actual or alleged liability of a Client Company under an express contract or agreement.
- **Wage Claims:** The policy will not pay loss in connection with any claim brought against any Client Company for failure to pay wages earned by an employee, including but not limited to any claim brought under the Fair Labor Standards Act, 29 U.S.C. 5201 et seq., or any state or local law governing the payment of overtime compensation or minimum wage. However, this exclusion does not apply to any claim brought pursuant to the Equal Pay Act, 29 U.S.C. §206(d).
- **Office of Foreign Assets Control:** The policy shall not cover any loss in connection with that portion of any claim made against an insured person in the event that such coverage would not be in compliance with any United States of America economic or trade sanctions, laws or regulations, including but not limited to the U.S. Treasury Department's Office of Foreign Assets Control, or any similar foreign, federal, state or statutory law or common law.
- **Biometric Information Claims:** This policy shall not cover any loss in connection with any Claim brought against any Client Company for a violation of any federal, state or local law that regulates or restricts the storage, collection or use of Biometric Information. Biometric Information means any information used to identify a natural person based on an anatomical scan or any record of biological pattern or characteristic, including but not limited to such natural person's retina or iris scan, fingerprint, voiceprint, or any record of hand or face geometry. Biometric Information shall not include any information that is protected or regulated pursuant to the Health Insurance Portability and Accountability Act of 1996.

About TriNet

TriNet (NYSE: TNET) provides small and medium size businesses (SMBs) with full-service HR solutions tailored by industry. To free SMBs from HR complexities, TriNet offers access to human capital expertise, benefits, risk mitigation and compliance, payroll and real-time technology. From Main Street to Wall Street, TriNet empowers SMBs to focus on what matters most—growing their business.

Go to [TriNet.com](https://www.trinet.com) to get started or speak with a TriNet representative at 888.874.6388.

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